Quillwood Credit Partners

Origination and credit | Internal working paper

Real Estate Credit Policy

Version 4.0, effective 1 January 2026

Prepared by Quillwood Credit Partners

Prepared for the Investment Committee and credit team

Version 4.0, effective 1 January 2026

Supersedes Version 3.1 dated 1 February 2025

Reference: QCP-CRP-RE-4.0

Date: 1 January 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Document	Real Estate Credit Policy
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Prepared by	Credit and Risk team, Quillwood Credit Partners
Prepared for	Investment Committee, origination and asset management teams
Policy owner	Chief Credit Officer

Document details

1. Purpose and scope

This policy sets the minimum credit standards that Quillwood Credit Partners applies when it originates, approves, documents, funds and monitors loans secured by Australian real estate. It applies to every real estate facility written by an Australian private credit fund or mandate managed by Quillwood Credit Partners, whether the facility is a first mortgage, a stretch senior facility or a facility held through a syndicate or participation.

The policy is intended to be read together with each fund's investment mandate, the Valuation Policy, the Conflicts and Related Party Policy and the Arrears and Workout Procedure. Where a fund mandate sets a tighter limit than this policy, the mandate prevails. Where this policy is tighter than a mandate, this policy prevails.

The policy covers five lending categories: construction, land and civils, apartments for sale, investment, and build-to-rent. It also sets limits that apply across all categories, namely borrower group concentration, sponsor equity, independent cost review and the exceptions process.

1.1 Definitions

- LVR means the facility limit divided by the relevant independent valuation. For construction and build-to-rent development the valuation basis is as-if-complete. For land and civils the basis is as-is.
- LTC means the facility limit divided by total development cost.
- TDC means total development cost, being land, hard construction costs, soft costs, financing costs, contingency and GST that is not recoverable, as verified by the independent quantity surveyor.
- ICR means net operating income divided by interest and fees payable on the facility over the same period.
- Borrower group means the borrower, its related entities, its sponsors and any entity under common control or common guarantee support.
- Fund means the net asset value of the relevant Quillwood Credit Partners fund at the date of credit approval, measured on the most recent month end.
- IC means the Investment Committee of Quillwood Credit Partners.

2. Governance and version control

Version 4.0 takes effect for all credit applications presented to IC on or after 1 January 2026. It supersedes Version 3.1 dated 1 February 2025, which is withdrawn from that date. Facilities approved under Version 3.1 before 1 January 2026 remain governed by their approval terms. However, any extension, increase, restructure or refinance of such a facility after the effective date must be assessed against this policy, and any departure must be treated as an exception under section 11.

The Chief Credit Officer owns this policy. It is reviewed at least annually and whenever market conditions, regulatory change or portfolio performance indicate that a limit should be revisited. Amendments are approved by IC and noted by the board of Quillwood Credit Partners Pty Ltd.

2.1 Changes from Version 3.1

Version 4.0 tightens leverage and sponsor requirements across most categories, removes the use of a desktop valuation to support a land loan at credit approval, and extends independent cost review to every facility. The table below lists each change.

Area	Version 3.1	Version 4.0	Nature
Construction max LVR (as-if-complete)	65%	60%	Tightened
Construction max LTC	80%	75%	Tightened
Land and civils max LVR (as-is)	60%	55%	Tightened
Land minimum pre-sales	20% of lots	30% of the stage's lots, 10% deposits	Tightened
Land valuation at approval	Desktop permitted	Full independent valuation required	Tightened
Apartment pre-sale debt cover	90% of limit	100% of limit	Tightened
Investment max LVR	65%	60%	Tightened
Investment ICR floor	1.75x	2.0x	Tightened
Build-to-rent stabilisation	90% within 24 months	90% within 18 months	Tightened
Single borrower group limit	12.5% of fund	10% of fund	Tightened
Sponsor minimum cash equity	10% of TDC	15% of TDC	Tightened
Independent QS	Facilities above A$20 million	All facilities, before first drawdown	Extended
Exceptions	IC approval	IC approval with documented mitigant	Clarified

Table 1: Summary of changes from Version 3.1 to Version 4.0

3. Credit principles

Quillwood Credit Partners lends against real estate where repayment is supported by a clear source of funds, security can be realised in a stressed market and the sponsor has meaningful capital at risk. The following principles apply to every facility.

- Repayment first. Each facility must have a primary repayment source (sale proceeds, refinance or cash flow) and an identified secondary source supported by independent evidence.
- Security first. The facility must be secured by a registered first mortgage over the land, supported by a general security agreement, and where relevant by assignments of the building contract, consultants' reports, insurances and sales contracts.
- Verified inputs. Valuation, cost, sales and income assumptions must be verified by parties independent of the borrower and the sponsor.
- Capital at risk. The sponsor must commit cash equity before the fund's first drawdown, not after.
- Diversification. No single borrower group may dominate a fund, and aggregate exposure to any one asset class, location or sponsor must be reported to IC at each meeting.

4. Concentration and sponsor requirements

4.1 Single borrower group limit

Aggregate exposure to any single borrower group must not exceed 10% of the Fund, measured on the basis of committed facility limits and including any proposed new facility. By way of illustration, in a fund with a net asset value of A$1,000 million the maximum exposure to one borrower group is A$100 million.

Exposure is aggregated across all facilities to the borrower group, including facilities held in different categories or by different funds managed by Quillwood Credit Partners. Where a borrower group is also a significant investor in a fund, the Conflicts and Related Party Policy applies in addition to this limit.

4.2 Sponsor minimum cash equity

The sponsor must contribute cash equity of not less than 15% of TDC. Cash equity means funds actually paid into the project and verified by the independent quantity surveyor and by bank or settlement evidence. The following do not count towards the minimum:

- uplift in land value from a revaluation or from a recent rezoning, unless the land was acquired at arm's length within the preceding six months;
- deferred or capitalised developer fees, deferred land payments and vendor finance;
- subordinated or mezzanine debt provided by a related party or by the sponsor, unless IC has approved it as an exception under section 11;
- contributions in kind, including sponsor services, unless separately costed and approved.

Cash equity must be expended first, before the first drawdown of the facility, unless IC approves a pro rata arrangement supported by a documented mitigant. Where the sponsor equity is held in a controlled account, the account must be subject to a control deed in favour of the fund.

4.3 Sponsor assessment

Each sponsor is assessed on completed project history, balance sheet strength, liquidity, contingent liabilities and standing with other financiers. The assessment must include searches for litigation, insolvency, ASIC and ATO matters, and reference checks with at least two prior financiers or principal contractors. The sponsor must provide a guarantee, which may be limited in recourse for investment facilities where the ICR and LVR limits are met with margin, but which must be unlimited for development facilities unless IC approves otherwise.

5. Construction lending

This section applies to facilities that fund the construction of residential, commercial, industrial or mixed use buildings, including the land component where the facility refinances land.

Test	Limit	Basis
Maximum LVR	60%	As-if-complete valuation
Maximum LTC	75%	Verified TDC
Sponsor cash equity	15% of TDC minimum	Paid before first drawdown
Independent QS	Required	Before first drawdown
Contingency	5% of hard costs minimum	Held within TDC

Table 2: Construction facility limits

5.1 Application of the LVR and LTC tests

Both tests apply and the facility limit is the lower of the two results. The LVR test is applied to the as-if-complete value reported by an approved independent valuer, and where the valuation is dependent on a stated sales rate or rental assumption, the valuer must benchmark it against evidence of comparable transactions. The LTC test is applied to TDC as certified by the independent quantity surveyor.

The following worked example shows how the two tests interact. It is illustrative only and does not relate to any approved facility.

Item	A$ million	Comment
Total development cost	50.0	QS verified
As-if-complete value	65.0	Independent valuation
Debt at 75% LTC	37.5	75% of TDC
Debt at 60% LVR	39.0	60% of value
Maximum facility limit	37.5	Lower of the two tests
Minimum sponsor cash equity	7.5	15% of TDC

Table 3: Worked example of construction limit sizing

In this example the LTC test governs. The facility limit of A$37.5 million equates to an LVR of approximately 57.7% on the as-if-complete value. The sponsor's minimum cash equity of A$7.5 million is less than the A$12.5 million equity gap between TDC and debt, so the sponsor must fund the A$12.5 million balance in cash or in other forms approved under section 4.2.

5.2 Builder and contract requirements

- The building contract must be a fixed price or guaranteed maximum price contract with a builder approved by Quillwood Credit Partners.
- Security for performance must be provided in the form of bank guarantees or retention of at least 5% of the contract sum, with half released at practical completion and the balance after the defects liability period.
- The builder's financial capacity must be assessed independently where the contract sum exceeds 25% of the builder's annual revenue.
- The borrower must provide evidence of all required planning and building approvals before the first drawdown.

5.3 Drawdowns

Drawdowns are made against progress claims certified by the independent quantity surveyor, with a site inspection for each claim. The fund funds its share of each claim only after the sponsor has contributed its cash equity and only where the undrawn facility plus remaining sponsor contributions are sufficient to complete the project (the in-balance test). If the project falls out of balance, drawdowns cease until the sponsor restores balance in cash.

6. Land and civils lending

This section applies to facilities that fund the acquisition of land for subdivision or development, and the civil works needed to deliver serviced lots.

Test	Limit	Basis
Maximum LVR	55%	As-is valuation
Minimum pre-sales	30% of the stage's lots	Unconditional contracts
Pre-sale deposits	10% of contract price	Held by stakeholder
Valuation at approval	Full independent valuation	No desktop valuation alone

Table 4: Land and civils facility limits

6.1 Valuation requirement

No land loan may be approved on the basis of a desktop valuation alone. At credit approval IC must have before it a full independent valuation, prepared following an inspection of the site by a valuer on the approved panel, addressed to Quillwood Credit Partners and reliance-extended to the relevant fund. A desktop valuation or a market appraisal may be used to support early indicative terms but must not form the basis of the approval.

The valuation must report the as-is value, a land residual analysis where subdivision is proposed, and a statement of any rezoning, contamination, flooding, easement, native title or heritage matters affecting value. Where the as-is value relies on a rezoning not yet gazetted, the value must be reported both with and without the rezoning, and the LVR tested against the value without it unless IC approves otherwise as an exception.

6.2 Pre-sales

Before the first drawdown for civil works, the borrower must hold unconditional contracts for not less than 30% of the lots in the stage being funded. Each contract must carry a deposit of at least 10% of the contract price, held in trust by a solicitor or other approved stakeholder, and must be assigned to the fund as security. Contracts to related parties of the sponsor do not count toward the minimum. Contracts must be reviewed for finance conditions, sunset dates and rescission rights, and a contract with a finance condition that has not been satisfied is not unconditional.

By way of illustration, a stage of 120 lots requires at least 36 unconditional contracts, each with a 10% deposit, before the first civils drawdown.

6.3 Civil works and staging

- Civil works must be priced under a fixed price contract with a contractor approved by Quillwood Credit Partners.
- Engineering approvals and the development consent must be in place before the first civils drawdown.
- Each stage must be separately secured and separately tested, and release of lots from the mortgage on settlement requires payment of the greater of the release price and 100% of net sale proceeds until the stage debt is repaid.
- Utilities, bonds and council contributions must be costed within TDC and verified by the independent quantity surveyor.

7. Apartments for sale

This section applies to facilities that fund the construction of apartment buildings or townhouse projects where repayment depends on settlement of presold lots. It applies in addition to section 5.

7.1 Pre-sale debt cover

The minimum pre-sale debt cover is 100% of the facility limit. Pre-sale debt cover is calculated as the net settlement proceeds from unconditional contracts, after deducting GST, sales commissions, marketing costs payable on settlement, vendor incentives and a reasonable allowance for purchaser default, divided by the facility limit. The first drawdown for construction must not occur until this test is met.

In calculating the test, only the following contracts count:

- unconditional contracts with a deposit of at least 10% held by an independent stakeholder;
- contracts with purchasers who are not related to the sponsor or builder;
- contracts with offshore purchasers only if supported by a deposit of at least 10% and an assessment of the purchaser's ability to settle;
- contracts on terms consistent with the valuer's pricing, where discounts of more than 5% to the valuer's assumed price are excluded or restated.

Where a project is staged, the test is applied to each stage and to the project as a whole. Quillwood Credit Partners may agree to fund an earlier stage before later stages meet the test, but only where the earlier stage meets 100% on its own.

7.2 Settlement risk

The credit paper must analyse the risk that valuations at settlement are below contract prices. It must report the buyer mix, the proportion of buyers relying on finance, and the proportion of contracts that would be at risk if values fell by 10%. The analyst must report the facility limit as a proportion of the unsold stock only, to show the exposure that depends on unsettled and unsold lots.

8. Investment lending

This section applies to facilities secured by completed, income producing commercial, industrial, retail or residential property, including term loans, bridging facilities and refinances.

Test	Limit	Basis
Maximum LVR	60%	As-is independent valuation
ICR floor	2.0x	Net operating income to interest and fees
Sponsor equity	15% of TDC minimum	Where capital works are funded
Lease expiry profile	Reported to IC	By income and by area

Table 5: Investment facility limits

8.1 ICR test

The ICR must be at least 2.0x at credit approval and at each quarterly test date. Net operating income is based on contracted rent from leases in place and excludes incentives that are not yet paid, rent from tenants in arrears for more than 60 days, and rent from tenants that have given notice or are in administration. Outgoings not recoverable from tenants are deducted. Interest and fees are calculated at the all-in rate payable on the drawn balance, and for floating rate facilities at the 90 day BBSW rate prevailing at the test date plus the margin.

8.2 Tenancy and asset quality

The credit paper must report the weighted average lease expiry, the tenant concentration and the proportion of income from tenants without a financial track record. Where more than 40% of income is derived from one tenant, the paper must set out the re-leasing risk and the downtime and capital costs likely at expiry. The valuation must be supported by a recent inspection and by comparable sales and leasing evidence.

9. Build-to-rent

This section applies to facilities that fund the development and stabilisation of build-to-rent residential assets held for long term rental.

Test	Limit	Basis
Maximum LVR	60%	As-if-complete valuation
Stabilised occupancy	90%	Within 18 months of practical completion
Sponsor cash equity	15% of TDC minimum	Paid before first drawdown
Independent QS	Required	Before first drawdown

Table 6: Build-to-rent facility limits

9.1 Stabilisation

The borrower must achieve stabilised occupancy of at least 90% within 18 months of practical completion. Occupancy is measured on the basis of leases in place and rent paying, not on the basis of applications or holding deposits. If the test is not met at the end of the 18 month period, the facility enters a cash sweep, distributions to the sponsor are blocked, and the credit team must present a remediation plan to IC within 30 days.

The facility term must allow for construction, the stabilisation period and a refinance window. IC will not approve a facility where the repayment depends on a refinance that would require an ICR or LVR outcome that is outside the limits for investment lending in section 8, unless the base case demonstrates compliance at the refinance date with a margin to those limits.

9.2 Operator and income assumptions

The operator or property manager must be approved by Quillwood Credit Partners and must have a record of operating comparable assets. Rental and occupancy assumptions must be benchmarked by an independent rental study, and the base case must not assume rents above the study's range. The analysis must include a downside case with lease-up at half the assumed pace.

10. Independent review, valuation and monitoring

10.1 Independent quantity surveyor

An independent quantity surveyor is required for every construction, land and civils, apartment and build-to-rent facility, and for any investment facility that funds capital works. The quantity surveyor must be appointed from the approved panel, report directly to Quillwood Credit Partners and be paid by the borrower under an engagement letter that gives the fund the right to rely on the reports. The initial report must be delivered, and its conclusions satisfied, before the first drawdown. It must verify TDC, assess the construction programme, review the building contract and report on the adequacy of contingency.

10.2 Valuations

- Valuers must be on the approved panel, must not have acted for the borrower or sponsor on the asset in the preceding 12 months, and must not be paid on a contingent fee basis.
- Valuations must be dated within three months of credit approval, and updated within three months of the first drawdown if market conditions have materially changed.
- A new valuation is required on any extension, on any event of default and at least every 12 months for investment facilities.
- Where two valuations are obtained, the lower value must be used.

10.3 Monitoring

The asset management team must report to IC each month on drawdowns, programme and cost variance, sales and settlement progress, covenant compliance and watchlist status. Any facility with a covenant breach, a construction delay of more than 90 days, a fall in pre-sale cover below the policy limit or an ICR below 2.0x must be placed on the watchlist and reported to IC at the next meeting, with a documented action plan.

11. Exceptions

A departure from any limit in this policy is an exception. An exception may only be approved by IC, and only where the credit paper sets out the departure, the reason, and a documented mitigant that reduces the risk the limit is intended to address. A mitigant must be specific and verifiable. Examples include additional security, a larger guarantee, a lower facility limit, a cash reserve or a tighter covenant. A general reference to the strength of the sponsor is not a mitigant.

- Each exception must be recorded in the exceptions register maintained by the Credit and Risk team, with the approval date, the mitigant and the review date.
- Exceptions must be reported to the board of Quillwood Credit Partners Pty Ltd on a quarterly basis, with the proportion of the Fund exposed to facilities approved as exceptions.
- An exception to the single borrower group limit of 10% of the Fund or to the requirement for an independent quantity surveyor before first drawdown requires the approval of all voting members of IC.
- An exception must not be granted for the sole reason that a facility has been requested by an existing investor or sponsor.

12. Summary of limits

Category	Max LVR	Key additional tests
Construction	60% as-if-complete	Max LTC 75%
Land and civils	55% as-is	Pre-sales 30% of stage's lots, 10% deposits; no desktop valuation alone
Apartments for sale	60% as-if-complete	Pre-sale debt cover 100% of facility limit
Investment	60%	ICR floor 2.0x
Build-to-rent	60% as-if-complete	Stabilised occupancy 90% within 18 months
All categories	Not applicable	Borrower group 10% of fund; sponsor cash equity 15% of TDC; independent QS before first drawdown

Table 7: Summary of Version 4.0 limits

13. Approval and sign-off

This policy was reviewed by the Credit and Risk team and approved by IC. The board of Quillwood Credit Partners Pty Ltd has noted the policy and the changes from Version 3.1.

Prepared by	Daniel Whitcombe, Chief Credit Officer
Reviewed by	Helen Maroulis, Head of Risk and Compliance
Approved by	Priya Keane, Chair, Investment Committee
Noted by	Board of Quillwood Credit Partners Pty Ltd
Approval date	1 January 2026
Next scheduled review	1 January 2027

Sign-off block